Levi Strauss & Co. (NYSE: LEVI) - 31.7% Upside | 1 year

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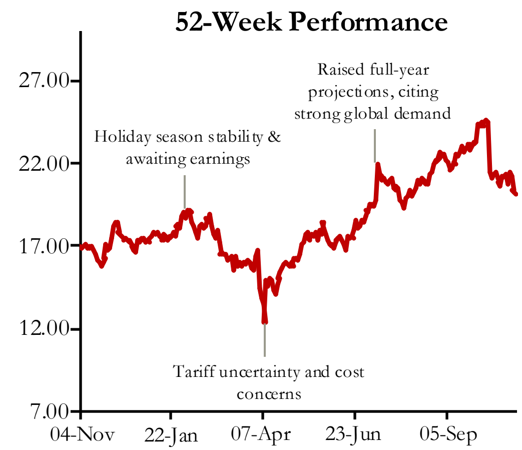
Company Overview

Levi Strauss & Co. (NYSE: LEVI)

Business Overview

- Levi Strauss & Co. was established in **1853**, headquartered in San Francisco, California
- Levi Strauss & Co. is known for **denim** and **casual wear**, with a strong heritage and **brand recognition**
- Levi Strauss has other brands such as Docker's (khaki apparel) and Beyond Yoga (activewear and athleisure) that enable their **expansion** in **other markets**
- Committed to **global expansion**, **innovating** products, and making a positive **social & environmental impact**
- A key player alongside American Eagle, Docker's/Lee, True Religion, and Tommy Hilfiger

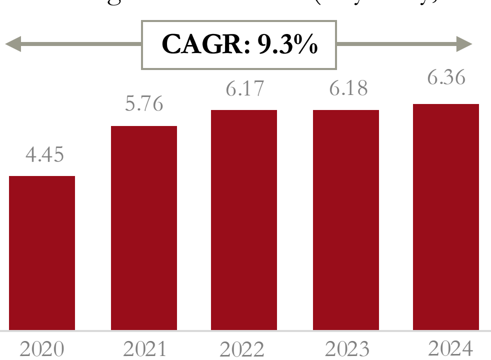


Key Financials

Share Price	$21.37
Market Cap	$7.926 B
Net Debt	$2.296 B
TEV	$9.515 B
NTM Sales	$6.482 B
NTM EBITDA	$967.04 M
52-Week High	$24.82
52-Week Low	$12.17

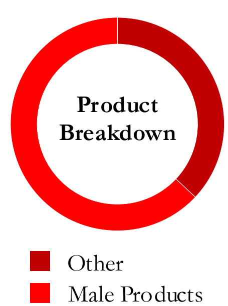
Revenue Growth ($B USD)

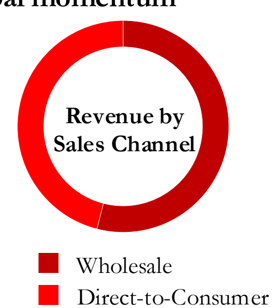
- As the inventor of commercial blue jeans, Levi Strauss & Co. is associated with a superior status in the eyes of the consumer. The brand is a symbol for **design**, **comfort**, and **reliability**, supporting **premium pricing** and **customer loyalty**
- Maintaining cultural relevance through collaborations (Toy Story, The Simpsons, Shaboozey), and global marketing efforts
- Expanding beyond jeans, promoting a "head-to-toe denim lifestyle"



Product and Geographic Segmentation

- Product Mix: Rising share of women's, kids & accessories, reflecting a gradual shift towards a more **balanced** & **diversified portfolio**
- Revenue by Channel: DTC has been steadily growing, driving **higher margins** and stronger **customer engagement**
- Geographic Expansion: International business up **9%** in Q3 2025 (driven by strong growth in Asia), while U.S. sales grew **3%**, highlighting Levi's accelerating **global momentum**





Source(s): Company Filings, Capital IQ, Statista

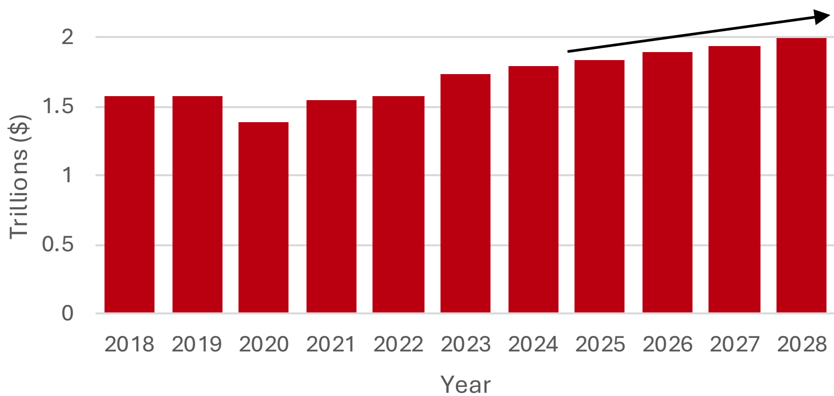
Industry Overview

Apparel and Denim

The Global Apparel Market

1.65% of global GDP (2025)

2.81% CAGR

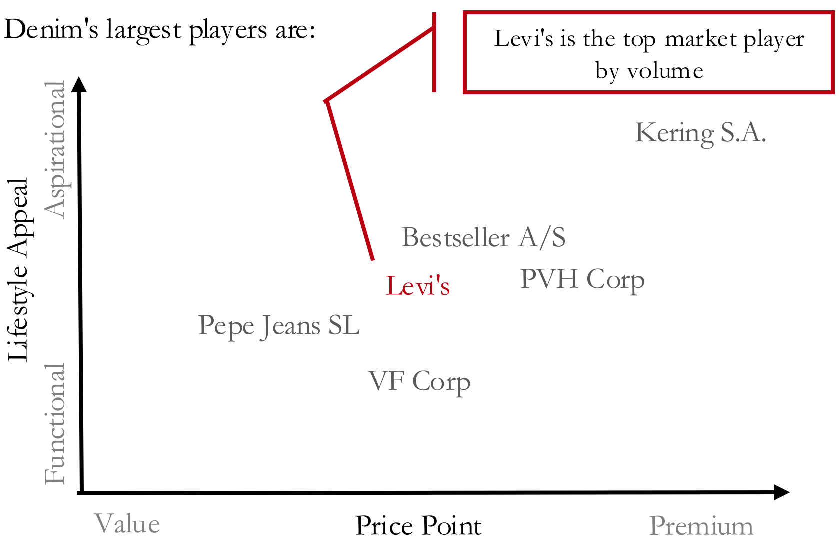


Key Trends Driving Denim Growth

- **Premiumization and Heritage:** consumers are willing to pay more for premium fabrics and brand heritage
  - In 2024, heavyweight selvedge denim captured 24% of the global market and sales grew 13%
- **DTC Channel Growth**: increasing direct sales and online sales
  - E-commerce and DTC strategies are driving incremental growth of USD 26.61 billion in the global denim jeans market between 2025 and 2029, with a near 7% CAGR.
- **Growing Sustainability Focus:** consumers want to buy from sustainable brands
  - Several brands report initiatives such as using up to 40% recycled content and recycling over 95% of water

Competitive Landscape

Denim's largest players are:



Industry Challenges

- Consumer preferences are ever-changing, and trend cycles are getting shorter as social media pushes higher product turnover
- There is fierce e-commerce competition from D2C brands, especially fast-fashion
- Trade restrictions and tariffs disrupt supply chains and increase prices
- Extreme weather and raw material inflation threaten cotton and fabric production
- Online resale imitations undermine brand value

Source(s): Uniform Market, 2024 Annual Report, Grand View Research

Thesis I: Luxury Market Expansion

Everyday Denim to Everyday Luxury

Margin Expansion

Competitors have proven denim can sell at luxury price points and boost margins.

Levi's	CK / Tommy Hilfiger	MK / Versace	Diesel
$80 per jean	$100	$350	$300
60% GPM	60% GPM	67% GPM	68% GPM

Impact

At a similar pricing point to **luxury competitors**, Levi's could increase **gross profit margins by 7-8%**

Levi's is strategically expanding in the premium apparel market through its Blue Tab line, expanding its consumer base and boosting margins while retaining its old consumer base.

Diversify Consumer Base

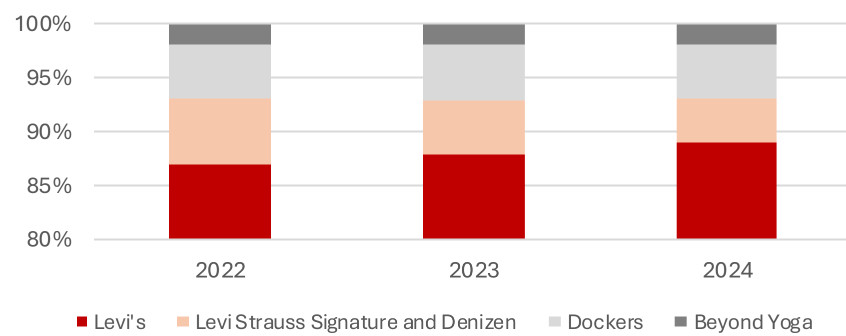
- Levi's brand heritage of 170+ years and recognition of "inventing the blue jean" gives it credibility to move upscale
- The Blue Tab line focuses on premium materials, modern tailoring, and limited-run collections to create scarcity and high demand

Levi's Blue Tab line successfully launched in Asia earlier this year, with items selling out within hours. The line also debuted in Europe last month with café pop-ups.

The Blue Tab line will feature products priced as high as $300-$400. The luxury denim market size is 3.5B in 2025, with an expected CAGR of 3.7%.

Expanding But Not Forgetting

- Levi's revenue is mostly made from their Red Tab line and low-cost Signature line, and they plan to offer jeans from $20-$300
- The brand's CFO, told the WSJ that Levi's wants to expand its "addressable market" without abandoning budget shoppers



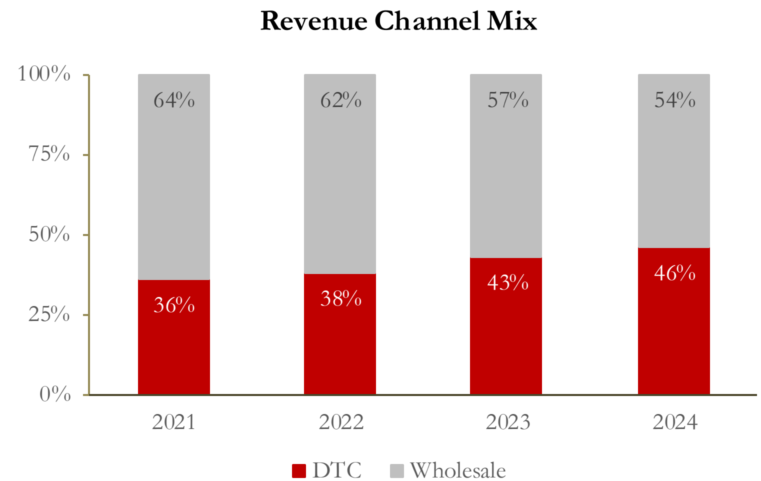
Thesis II: Operational Efficiency

Strategic Supply Chain Optimization

Distribution Network

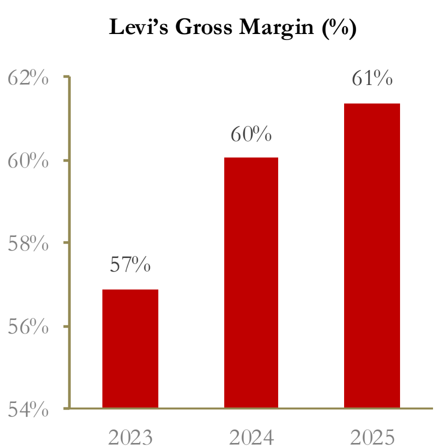
- Levi's has been restructuring its distribution network to a hybrid model, using both owned & leased facilities operated by 3PL providers
- The completion target is early 2026 for ending dual-facility overlap, positioning Levi's for improved cost structure and operational efficiency
- Regionally optimized and automation distribution centers move products faster, reducing inventory holding costs and shipping expenses, improving operating margins
- Omnichannel fulfillment enables flexibility in allocating inventory, fulfilling online orders or warehouse needs based on real-time demand

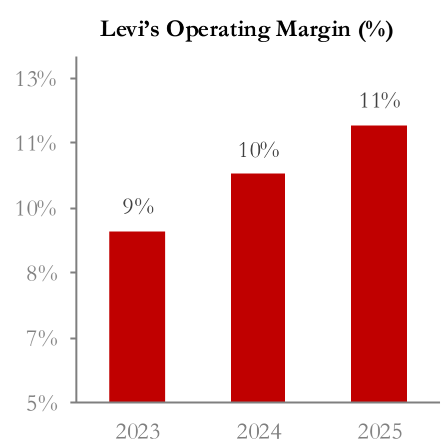
Shift Toward DTC Channel



Margin Expansion Highlights Strategic Progress

Levi's demonstrates consistent profitability improvement, with both gross and operating margins showing steady growth





Management Commentary on DTC Strategy

"Gross margin increased 110 basis points to 61.7% from 60.6% in Q3 2024 primarily driven by favorable channel mix and price increases" ~ Levi's Q3 2025 Earnings Call

"We're pleased with the strong results from our store optimization initiative, which have improved both the consumer experience and store productivity" ~ Michelle Gass

Shift will lower distribution-costs, support faster fulfillment, raise margins, and better service to wholesale partners

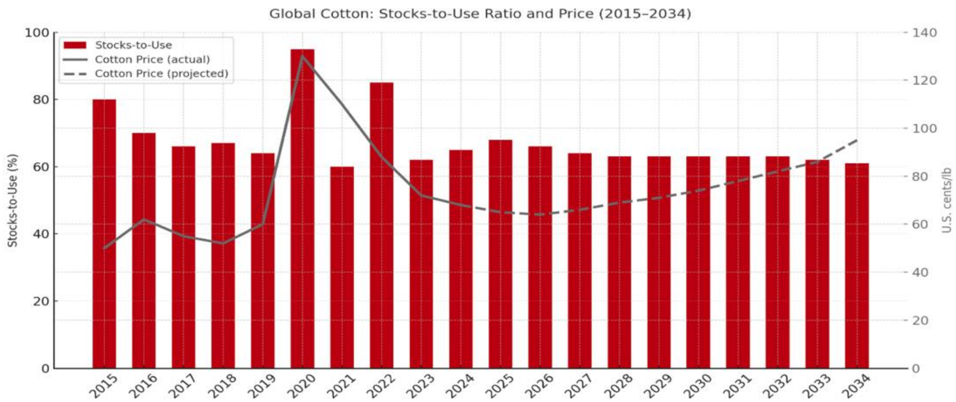
Source(s): Supply Chain Dive, Q3 2025 Earnings Call, Capital IQ,

Thesis III: Sustainability as a Strategic Hedge

Long-Term Growth Positioning

Levi’s Sustainable Initiatives Mitigate Climate-Related Sourcing Risks

Cotton accounts for nearly 90% of the raw materials sourced annually for Levi's, but increasing climate volatility threatens supply consistency and cost stability



In 2025, Levi's joined the US Cotton Trust Protocol, Better Cotton Initiative, and Organic Cottom Accelerator

Secure long-term global cotton supply through verified, sustainable, and resilient farming practices, reducing potential risks associated with supply chain disruptions caused from weather

The company comments: "Any associated cost increases are expected to be absorbed into business-as-usual activities".

Levi's Can Price Discriminate

In a 2024 survey across 17 international markets:

53%
Of consumers are willing to pay more for sustainable clothing/accessories

26%
Say they would pay up to 10% more for sustainable clothing/accessories

13%
Say they would pay up to 25% more for sustainable clothing/accessories

Even amid tariff-driven price increases in Q3, the company's CFO reports there was no "impact on demand either from the customer or the consumer", demonstrating Levi has the ability to maintain strong demand despite price increases for a variety of reasons.

Levi's offers a low-cost alternative for customers to participate in sustainable initiatives:

Levi’s SecondHand

- The global second-hand resale industry is projected to be valued at $48.3 billion (2025), with a 11% CAGR (10 years)
- Levi's program is directly run and controlled by them, ensuring customers receive verified products and top-notch service, a big problem for third-party resellers
- In 2024, the re-commerce platform reclaimed or extended approximately 21,000 units of clothing and resold 8,000 units, serving around 5,000 consumers

Source(s): Sourcing Journal Denim, International Centre for Agricultural Competitiveness, YouGov, Q3 Report

Risks, Mitigations, and Catalysts

Looking toward the future, what are factors that are not fully in Levi's control but could have a significant impact

Risks

Pricing Pressure

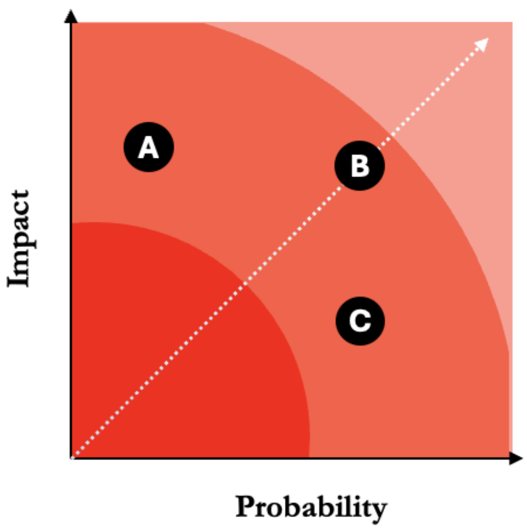
Either from fast-fashion retailers, or increased price competition among the luxury brands themselves. Consumers might not respond as favourably to high prices

Shift in consumer preference regarding denim

Levi's depends largely on denim, and shifts in fashion trend could make it very vulnerable to downturns

Macro & Geopolitical headwinds

People spending less on luxury clothing durinv volatility, combined with tariffs uncertainty could impact demand and costs



Mitigations

DTC Model

Shifting to a DTC model, providing higher margins and controlled brand messaging

Diversification & Core messaging

actively diversifying its offerings beyond core jeans to create a "head-to-toe" denim lifestyle + active message about sustainability

Flexible global supply-chain

Sources from approx. 25 countries giving it flexibility to shift production and mitigate impact of disruptions in a single country

Catalysts

Successful expansion into NA's premium & luxury markets

These markets feature products priced as high as $300-$400, and a successful move could greatly boost profit margins.

Favourable macro-economic shifts

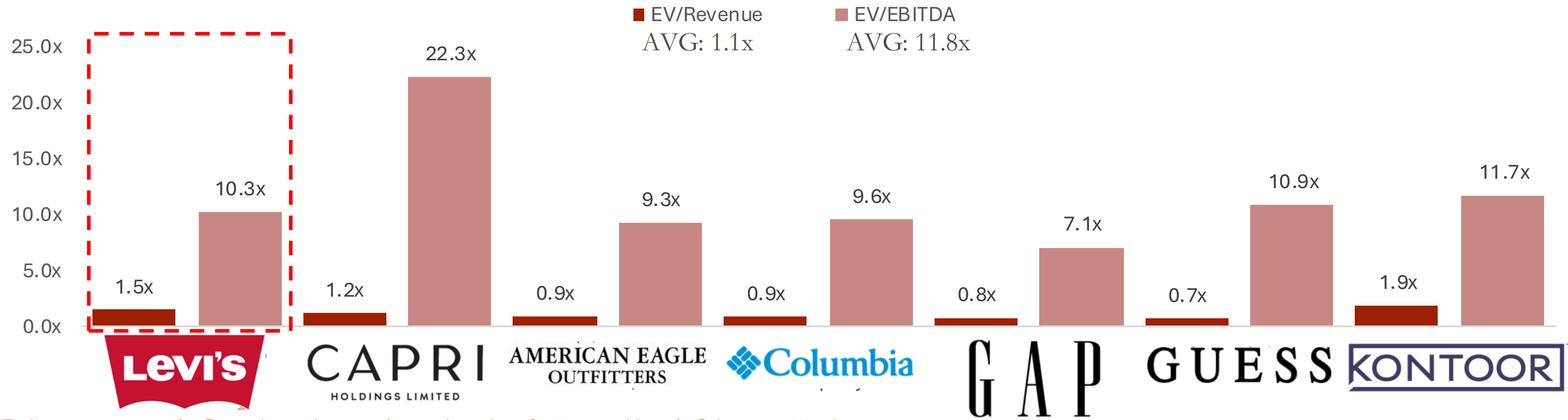
Better consumers' income will increase their willingness to spend on discretionary items like apparel. Moreover, a de-escalation of trade tensions and the removal of tariffs would directly reduce costs and improve investor confidence, which has been a persistent headwind.

Source(s):

Comparable Companies & Discounted Cash Flow Analysis

Financial Analysis

Company Comparable Analysis | EV/Revenue AND EV/EBITDA



Discounted Cash Flow Analysis | Implied Share Price

Implied Equity Value = $11.87 Billion

Shares Outstanding = 391 Million

Implied Share Price = $30.47

Sensitivity Analysis

		Revenue Growth Rate				
	$ 30.36	3.00%	4.00%	5.00%	6.00%	7.00%
WACC	7.20%	28.65	31.79	35.17	38.83	42.77
	7.70%	26.63	29.53	32.67	36.06	39.72
	8.20%	24.84	27.55	30.47	33.63	37.04
	8.70%	23.25	25.79	28.52	31.47	34.66
	9.20%	21.82	24.20	26.77	29.54	32.53

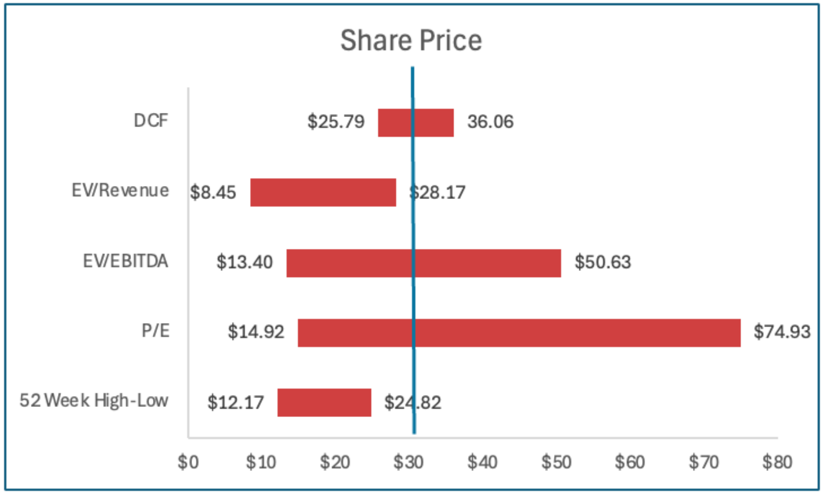
Our predicted share price for Levi Strauss & Co. is $30.47, with a lower bound of $21.82. This is still above the current price of $21.37, furthering affirming our recommendation

Source(s): CapIQ, Company Filings

Recommendation: BUY

Target price: $28.14   Implied upside: ~31.7%

Football Field Analysis



Weighted Average Target Share Price

Method	Target price	Weightage
DCF	$30.36	50%
EV/Revenue	$15.27	17%
EV/EBITDA	$24.19	17%
P/E	$38.33	17%
Final Target Price	**$28.14**	**100%**

Thesis Summary

I. Levi's expansion into the luxury denim market, expands their consumer base and could increase gross margins by 7-8% without losing mid-market consumers. Recent launches were received well, with the NA launch coming in 2026.

II. Levi's is optimizing its supply chain ahead of 2026, which will lower distribution-costs, support faster fulfillment,, and better service to wholesale partners. Gross margins were raised 110 points from these efforts in 2025 Q3.

III. Levi's is not only sourcing cotton sustainably, but also ensuring long-term cotton supply to mitigate climate-related risks. Their consumers are generally unresponsive to price increases, but also have the alternate to shop verified second-hand.

Recommendation

We used a blend of **DCF**, **Comparable Company Analysis** and **Analyst** consensus to reach a **BUY** recommendation

A majority of weightage was towards DCF, with remaining weighting split between the 3 valuation ratios

Our analysis concludes that Levi & Strauss Co. is **undervalued** with a **target price of $28.14**, and an implied **upside** of **31.7%**

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FCF and Income Statement Assumptions

Appendix I

Unlevered Free Cash Flow (mm)					1	2	3	4	5	6	7	8	9	10
Fiscal Year	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E
Net Revenue	**5,764**	**6,169**	**6,179**	**6,355**	**6,673**	**7,007**	**7,357**	**7,725**	**8,111**	**8,517**	**8,943**	**9,390**	**9,859**	**10,352**
COGS	2,417	2,620	2,683	2,527	2,796	2,935	3,071	3,192	3,384	3,549	3,721	3,904	4,106	4,309
Selling General & Admin Exp.	2,510	2,739	2,890	3,053	3,049	3,239	3,435	3,605	3,757	3,958	4,161	4,366	4,580	4,813
Other Expenses	8	9	111	306	100	100	100	100	100	100	100	100	100	100
Total Operating Expenses	4,936	5,368	5,684	5,886	5,845	6,174	6,506	6,797	7,140	7,507	7,883	8,270	8,686	9,122
EBITDA	**828**	**801**	**495**	**469**	**828**	**833**	**851**	**928**	**971**	**1,010**	**1,060**	**1,120**	**1,173**	**1,230**
Depreciation & Amort.	142	155	161	193	206	204	201	208	211	212	214	218	220	223
Operating Profit (EBIT)	**686**	**647**	**334**	**276**	**622**	**629**	**650**	**720**	**760**	**798**	**846**	**902**	**953**	**1,008**
Income Tax Expense	27	81	16	8	37	41	33	37	43	45	46	49	53	55
NOPAT	**660**	**566**	**319**	**268**	**584**	**588**	**617**	**683**	**717**	**753**	**800**	**853**	**900**	**952**
(+) Depreciation & Amortizatic	142	155	161	193	206	204	201	208	211	212	214	218	220	223
(-) Capital Expenditures	191	279	223	211	210	211	213	216	219	221	224	227	229	232
(-) Change in NWC		408	105	(301)	244	141	65	(125)	89	51	22	8	50	37
NWC	(62)	346	451	151	394	536	600	476	565	616	638	645	695	732
Current Assets	1,808	2,328	2,239	2,161	2,470	2,692	2,839	2,859	3,062	3,231	3,383	3,534	3,726	3,913
Current Liabilities	1,870	1,982	1,788	2,011	2,075	2,156	2,239	2,383	2,497	2,616	2,745	2,888	3,031	3,181
Unlevered Free Cash Flow	**610**	**34**	**151**	**550**	**337**	**439**	**541**	**799**	**619**	**693**	**769**	**836**	**841**	**906**
PV of FCF					**312**	**375**	**427**	**583**	**417**	**431**	**442**	**444**	**413**	**411**

Assumptions					1	2	3	4	5	6	7	8	9	10
Fiscal Year	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E
Revenue Growth	0%	7%	0%	3%	5%	5%	5%	5%	5%	5%	5%	5%	5%	5%
COGS as % of Revenue	41.9%	42.5%	43.4%	39.8%	41.9%	41.9%	41.7%	41.3%	41.7%	41.7%	41.6%	41.6%	41.6%	41.6%
SG&A % of Revenue	43.55%	44.40%	46.77%	48.04%	45.7%	46.2%	46.7%	46.7%	46.3%	46.5%	46.5%	46.5%	46.5%	46.5%
Tax % of EBIT (Effective Tax Rate)	3.9%	12.5%	4.7%	3.0%	6.0%	6.5%	5.1%	5.2%	5.7%	5.6%	5.4%	5.5%	5.5%	5.5%

Fixed Asset & NWC Calculations

Appendix II

Fixed Assets Schedule					1	2	3	4	5	6	7	8	9	10
Fiscal Year	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E
Beginning PP&E	455	503	623	681	699	702	709	721	729	737	746	756	765	774
D&A	143	159	165	193	206	204	201	208	211	212	214	218	220	223
CapEx	191	279	223	211	210	211	213	216	219	221	224	227	229	232
Ending PP&E	**503**	**623**	**681**	**699**	**702**	**709**	**721**	**729**	**737**	**746**	**756**	**765**	**774**	**783**

Assumptions					1	2	3	4	5	6	7	8	9	10
Fiscal Year	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E
D&A as a % of Beginning PP&E	32%	32%	27%	28%	30%	29%	28%	29%	29%	29%	29%	29%	29%	29%
CapEx as a % of Beginning PP&E	42%	56%	36%	31%	30%	30%	30%	30%	30%	30%	30%	30%	30%	30%

Net Working Capital					1	2	3	4	5	6	7	8	9	10
Fiscal Year	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E
Trades Receivable	708	697	752.7	710	928	1,003	1,109	1,052	1,154	1,218	1,279	1,325	1,404	1,474
Inventory	898	1,417	1,290	1,239	1,317	1,455	1,488	1,549	1,638	1,730	1,806	1,896	1,994	2,094
Other Current Assets	203	214	196	212	225	234	243	258	271	283	297	313	328	345
Total Non-Cash Current Assets	**1,808**	**2,328**	**2,239**	**2,161**	**2,470**	**2,692**	**2,839**	**2,859**	**3,062**	**3,231**	**3,383**	**3,534**	**3,726**	**3,913**
Accounts Payable	525	657	568	663	645	687	706	753	787	827	867	912	957	1,005
Accrued Exp.	484	427	405	428	477	479	501	532	561	585	614	646	679	712
Short Term Operating Lease Liabilities	245	236	246	253	268	277	293	307	323	338	356	373	392	412
Other Current Liabilities	615	662	569	666	686	713	738	791	826	865	908	956	1,003	1,053
Total Current Liabilities	**1,870**	**1,982**	**1,788**	**2,011**	**2,075**	**2,156**	**2,239**	**2,383**	**2,497**	**2,616**	**2,745**	**2,888**	**3,031**	**3,181**

Assumptions					1	2	3	4	5	6	7	8	9	10
Fiscal Year	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E
Revenue	5,764	6,169	6,179	6,355	6,673	7,007	7,357	7,725	8,111	8,517	8,943	9,390	9,859	10,352
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OpEx	4,936	5,368	5,684	5,886	5,845	6,174	6,506	6,797	7,140	7,507	7,883	8,270	8,686	9,122
Day Sales Outstanding (DSO)	44.8	41.2	76.2	40.8	50.8	52.2	55.0	49.7	51.9	52.2	52.2	51.5	52.0	52.0
Days Payable Outstanding (DPO)	38.8	44.7	36.5	41.1	40.3	40.6	39.6	40.4	40.2	40.2	40.1	40.3	40.2	40.2
Days Inventory Outstanding (DIO)	135.6	197.4	175.5	179.0	171.9	180.9	176.8	177.2	176.7	177.9	177.1	177.2	177.2	177.4
Other Current Assets as % of Revenue	3.5%	3.5%	3.2%	3.3%	3.4%	3.3%	3.3%	3.3%	3.3%	3.3%	3.3%	3.3%	3.3%	3.3%
Accrued Exp. % of Revenue	8.4%	6.9%	6.5%	6.7%	7.1%	6.8%	6.8%	6.9%	6.9%	6.9%	6.9%	6.9%	6.9%	6.9%
Unearned Revenue, Current % of Revenue	4.3%	3.8%	4.0%	4.0%	4.0%	3.9%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%
Other Current Liabilities % of Revenue	10.7%	10.7%	9.2%	10.5%	10.3%	10.2%	10.0%	10.2%	10.2%	10.2%	10.2%	10.2%	10.2%	10.2%

WACC & Terminal Value Calculation

Appendix III

Unlevered Free Cash Flow (mm)														
Fiscal Year	2021A	2022A	2023A	2024A	2025E	2026E	2027E	2028E	2029E	2030E	2031E	2032E	2033E	2034E
Unlevered Free Cash Flow	610	34	151	550	337	439	541	799	619	693	769	836	841	906
Projection Year					1	2	3	4	5	6	7	8	9	10
Present Value of Free Cash Flow					**312**	**375**	**427**	**583**	**417**	**431**	**442**	**444**	**413**	**411**

Weighted Average Cost of Capital (WACC)	
Total Debt (mm)	1,954
Market Cap (mm)	7,820
Cost of Debt	2.1%
Tax Rate	21.0%
D/(D+E)	20.0%
After Tax Cost of Debt	**1.7%**
Risk Free Rate (10 Year US Treasury Rate)	4.1%
Equity Risk Premium	4.3%
Levered Beta	1.34
E/(D+E)	80.0%
Cost of Equity	**9.9%**
WACC	**8.2%**

Terminal Value Calculation	
Terminal Value Growth Rate	2%
WACC	8.2%
Terminal Value (Gordon Growth)	14,834
PV of Terminal Value	6,728

Implied Share Price & Sensitivity Analysis
Appendix IV

Implied Share Price Calculation	
Sum of PV of FCF	4,254
PV of Terminal Value	9,138
Enterprise Value	13,393
(+) Cash	690
(-) Debt	2,213
(-) Minority Interest	0
Equity Value	11,870
Shares Outstanding (mm)	391
Implied Share Price	**$ 30.36**
Current Share Price	$ 21.37
Implied Upside	**42%**

Sensitivity Analysis

		Revenue Growth Rate				
	$ 30.36	3.00%	4.00%	5.00%	6.00%	7.00%
WACC	7.20%	28.65	31.79	35.17	38.83	42.77
	7.70%	26.63	29.53	32.67	36.06	39.72
	8.20%	24.84	27.55	30.47	33.63	37.04
	8.70%	23.25	25.79	28.52	31.47	34.66
	9.20%	21.82	24.20	26.77	29.54	32.53

Comparable Company Analysis

Appendix V

Company	Ticker	Share Price	Shares Outstanding	Equity Value	Net Debt	Enterprise Value	Revenue	EBITDA	Net Income	EV/Revenue	EV/EBITDA	P/E
		Market Data					Financials			Valuation		
Levi Strauss & Co	LEVI	21.09	391	8,242	1,589	9,831	6,589	958	603	1.5x	10.3x	13.7x
Capri Holdings Limited	CPRI	21.62	119	2,575	2,757	5,332	4,369	239	53	1.2x	22.3x	48.6x
American Eagle Outfitters, Inc.	AEO	17.78	169	3,010	1,871	4,881	5,267	524	197	0.9x	9.3x	15.3x
Columbia Sportswear Company	COLM	51.06	54	2,752	244	2,996	3,424	313	187	0.9x	9.6x	14.7x
The Gap, Inc.	GAP	24.09	371	8,937	3,160	12,097	15,166	1,698	889	0.8x	7.1x	10.1x
Guess?, Inc	GES	16.85	52	878	1,417	2,295	3,092	211	31	0.7x	10.9x	28.0x
Kontoor Brands, Inc.	KTB	71.93	56	3,999	1,418	5,417	2,834	461	413	1.9x	11.7x	9.7x
High										1.9x	22.3x	48.6x
75th Percentile										1.1x	11.5x	24.9x
Average										**1.1x**	**11.8x**	**21.1x**
Median										**0.9x**	**10.2x**	**15.0x**
25th Percentile										0.8x	9.4x	11.2x
Low										0.7x	7.1x	9.7x

Levi Strauss & Co Valuation	EV/Revenue	EV/EBITDA	P/E
Implied Enterprise Value (using 75th percentile)	7,558	11,044	16,568
Net Debt	1,589	1,589	1,589
Implied Market Value	5,969	9,455	14,979
Shares Outstanding	391	391	391
Implied Value Per Share	**15.27**	**24.19**	**38.33**